IN THE NATIONAL COMPANY LAW TRIBUNAL

BENGALURU BENCH

C.P (CAA) No. 20/BB/2018
U/S 230 to 232 of the Companies Act, 2013
Order Delivered on: 17th December 2018

IN THE MATTER OF SCHEME OF AMALGAMATION

OF

SHRIRAM CHITS PRIVATE LIMITED,
(Transferor Company No. 1)
AND
SHRIRAM CHITS (MAHARASHTRA) PRIVATE LIMITED,
(Transferor Company No.2)
AND
SHRIRAM CHITS TAMIL NADU PRIVATE LIMITED
(Transferor Company No.3)
With
SHRIRAM CHITS (KARNATAKA) PRIVATE LIMITED
(Petitioner /Transferee Company)
AND
THEIR RESPECTIVE SHAREHOLDERS

Coram: 1. Hon'ble Shri Rajeswara Rao Vittanala, Member (Judicial)
2. Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

SHRIRAM CHITS (KARNATAKA) PRIVATE LIMITED,
Akshodaya, 259/31, 1st Floor,
10th Cross, Wilson Garden,
Bengaluru-560 027 - **Petitioner /Transferee Company**

For the Petitioner: Learned Senior Counsel Shri K.G. Raghavan,
along with Shri K. A. Alakiri,
and Shri Udayarkar Rangarajan

Per: **Hon'ble Shri Rajeswara Rao Vittanala, Member (Judicial)**

Heard on: 04.04.2018, 28.05.2018, 02.07.2018, 27.07.2018, 31.08.2018, 27.09.2018, 12.10.2018, 19.11.2018, 26.11.2018, and 07.12.2018

ORDER

1. The Company Petition was filed individually by the Petitioner/Transferee Company under Section 230 to 232 of the Companies Act, 2013 praying for the sanction the

scheme so as to be binding in terms thereof on the Transferor Companies and Transferee Company and their respective shareholders and creditors and.

2. The averments made in the Company Petition are briefly described hereunder:-

A. The Petitioner Companies seek an order for sanctioning the Scheme under which the entire undertakings, assets, business and liabilities of the Transferor Companies No. 1,2, and 3 are proposed to be amalgamated with and vested in the Petitioner/Transferee Company as a going concern, so as to be binding in terms thereof on the Petitioners Companies and their respective shareholders. The Scheme also proposes the shifting of the Registered office of the Petitioner/Transferee Company from the State of Karnataka to the State of Tamil Nadu, and a change in the name of the Transferee Company from Shriram Chits (Karnataka) Private Limited to Shriram Chits (India) Private Limited.

B. The Petitioner /Transferee Company was incorporated on 09.01.1990 under the name and style of '*Shriram Chits (Bangalore) Private Limited*'. Subsequently on 26.02.2003 the name of the Petitioner /Transferee Company was changed to its present name i.e., "*Shriram Chits (Karnataka) Private Limited*" under the jurisdiction of the Registrar of Companies, Karnataka bearing CIN U65992KA1990PTC010662. The Registered office of the Petitioner /Transferee Company is situated at Akshodaya, 259/31, 1st Floor, 10th Cross Wilson Garden, Bangalore -560027.

C. The object of the Petitioner /Transferee Company as set out in its Memorandum of Association is inter alia to conduct in accordance with the Law for the time being in force, Chit Funds or Kuries and all similar kinds of schemes which encourage the habit of savings by affording all facilities for the purpose and more especially by opening Chit Savings, Thrift savings, and other deposit schemes in relation to trade or public, commercial and regular needs whether in the form of time, demand or call deposits and to allow interests in all such deposits at such rates as may be decided upon by the company from time to time subject to the Rules and Regulations under Banking Regulations 1949 (10 of 1949), etc.

D. The latest authorised share capital of the Petitioner /Transferee Company as on 31st March, 2017 is Rs. 5,00,00,000/- divided into 5,00,000 Equity Shares of

Rs.100/- each. The issued, subscribed and paid-up capital of the Petitioner /Transferee Company as on 31st March, 2017 is Rs. 4,00,00,000/- divided into 4,00,000 Equity Shares of Rs.100/- each.

E. The Board of Directors of the Petitioner /Transferee Company have approved and adopted the Scheme of Amalgamation at its respective meeting held on 16.08.2017.

F. The Petitioner /Transferee Company had filed Company Application No.(CAA) 78/BB/2017 before this Tribunal for dispensation of the meetings of Equity Shareholders of the Petitioner /Transferee Company. This Tribunal vide its orders dated 15th January, 2018 allowed the Application and dispensed with convening of meeting of Equity Shareholders, Unsecured Creditors and Secured Creditors.

3. This Tribunal vide order dated 04th April, 2018 directed the Petitioner /Transferee Company to issue Notice to all relevant statutory authorities including Income Tax Authorities, and also to have an advertisement of Notice of Petition be carried out in the '**The Hindu**', an English daily Newspaper and '**Udayavani**' a Kannada daily Newspaper.

4. In pursuant to the same the counsel for the Petitioner /Transferee Company has filed a affidavit dated 30.04.2018 for having taken paper publication as directed and have also furnished the copy of the paper publications for having taken Advertisement in '**The Hindu**', an English daily Newspaper and '**Udayavani**' a Kannada daily Newspaper.

5. The Registrar of Companies, Karnataka has filed the observations dated 29.06.2018 making the following observations:

a) Transferor Company No.1, Transferor Company No.2, and Transferor Company No.3 are registered with RoC Hyderabad, RoC Mumbai, and RoC Chennai respectively.

b) The Scheme (at Clause No. 6(A) in Part IV) proposing for shifting of Registered Office of the Transferee Company from the State of Karnataka to the State of Tamil Nadu as an integral part of the Scheme which falls under the jurisdiction of Regional Director, Hyderabad. In this regard, Transferee Company shall file

necessary forms and obtain approval of the Central Government (Power delegated to the Regional Director, SER, Hyderabad) for such shifting, after the Scheme.

c) The Scheme at Clause No. 6(B) proposing to change the name of the Transferee Company from its present name, M/s 'Shriram Chits (Karnataka) Private Limited' to M/s 'Shriram Chits (India) Private Limited', the Company shall file necessary forms with the Registrar of Companies and comply with the provisions of the Companies Act, 2013.

d) Since chit companies are controlled by the Registrar of Chits of the concerned states, necessary approvals may be obtained from the concerned authorities to the scheme in the interest of public/chit holders.

e) At Clause No. 10.3 in Part V of the Scheme it is mentioned that the Transferee Company is not required to pay any additional fee on clubbing of authorised capital of the transferor companies with the transferee company which is not acceptable under section 232(3)(i) of the Companies Act, 2013. Hence Transferee Company has to pay the differential fee if any after setting off the fee already paid by the Transferor companies on their respective authorised capital.

f) Part III of the Scheme Method of Accounting Treatment to be followed by the transferee company has not provided and also there is no auditor's report stating as to which accounting standard/method is going to be adopted for the Scheme in conformity with Section 133 of the Companies Act, 2013.

g) A share exchange ratio has been recommended by Mr. R. Thyagarajan, Chartered Accountant, vide valuation report dated 16/08/2017 to the proposed Scheme of Amalgamation as per Company's request. Whereas, Board of Directors vide resolution passed on 16/08/2017 have considered a different share exchange ratio and adopted the same in the Scheme (at Clause No.9 of Part-V) for the reasons that the entire share capital of the companies in the Scheme are held by single entity, i.e., Shriram Ownership Trust and in order to keep the Transferee Company at service levels.

h) There are no prosecutions, complaints, and Technical Scrutiny pending in this office on the petitioner companies.

6. The Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies has filed Affidavit dated 28th May, 2018 stating that the Directorate vide letter No.3/Hyd/Amal/845/RD/SER/2017/4591 & 4592 dated 09.01.2018 had requested the petitioner company to send certain information and documents for examination of the petition and for making appropriate representations thereon and that the petitioner company has not furnished the requisite information and documents till 23.05.2018. In view of the above, the Directorate is unable to provide its conclusive representations/comments on the Scheme.

7. The Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies after going through the ROC report dated 29.06.2018, the Petitioner Company's letter dated 13.07.2018 and subsequent emails dated 25.07.2018 and 30.07.2018, has filed Affidavit dated 13th August, 2018 stating as follows:

   a) With respect to ROC's observation on shifting of registered office, the Petitioner Companies have to file the required e-forms under Section 13 of the Companies Act, 2013.

   b) ROC has observed that the Scheme at Clause No. 6(B) is proposing for change of name of Transferee Company from its present name M/s Shriram Chits (Karnataka) Private Limited to M/s Shriram Chits (India) Private Limited and hence, the company shall file necessary forms with Registrar of Companies and comply the provisions of the Companies Act, 2013. The petitioner company in its email letter dated 25.07.2018 has agreed to file necessary forms with the ROC and hence this observation may not be pursued further.

   c) ROC has observed that at Clause No. 10.3 in part V of the Scheme it is mentioned that the transferee company is not required to pay any additional fee on the clubbing of authorised capital of the transferor companies with the transferee company which is not acceptable under section 232(3)(i) of the Companies Act, 2013. Hence Transferee Company has to pay the differential fee if any after setting off the fee already paid by the Transferor companies on their respective authorised capital. The petitioner company in its email dated 25.07.2018 has agreed to comply with the provisions of Section 232 (3)(i) of the Companies Act, 2013 and hence this observation may not be pursued any further.

d) ROC has observed that at Part III of the Scheme Method of Accounting Treatment to be followed by the transferee company has not provided and also there is no auditor's report stating as to which accounting standard/method is going to be adopted for the Scheme in conformity with Section 133 of the Companies Act, 2013. The petitioner company in its email letter dated 25.07.2018 and 30.07.2018 has referred to Certificate dated 04.06.2018 issued by M/s V. Narayan & Company, Chartered Accountants, Chennai certifying that the scheme is in conformity with the Accounting Standards under section 133 of Companies Act, 2013. However, the scheme is silent on the same.

e) As per section 232(6) of the Companies Act, 2013 the scheme under this section shall clearly indicate an appointed date from which it shall be effective and the scheme shall be deemed to be effective from such date and not at a date subsequent to the appointed date. However Clause 1.1(h) of the scheme is contrary to Section 232(6) and needs modification.

The petitioner company vide e-mail letter dated 30.07.2018 has clarified that the "effective date" has been specifically clarified due to the reason that there will always be some time gap between the scheme is approved by the Board and the appropriate statutory authority, i.e., NCLT and that there is no inconsistency. The reply of the company is accepted but the said clause 1.1(h) as it stands in the Scheme is contrary to the clarification/intention of the company.

f) As per Clause 3.2.1 (d) of the Scheme, the list of immovable properties of Transferor Companies which are proposed to be transferred to the transferee company is stated to have been furnished in Schedule 'A'. However, no such Schedule 'A' is attached to the scheme. The petitioner company may be directed to submit the same. As all the transferor companies are situated in different states, the petitioner companies have to comply with the respective state laws in respect of payment of stamp duty for transfer of immovable properties if any.

The petitioner company in its email letter dated 30.07.2018 has stated that "*the Applicant company shall seek deletion of the words 'as more fully set out in Schedule 'A' hereto in clause 3.2.1(d) of the Scheme as Clause (d) covers all the immovable properties of the Transferor Companies.*"

In view of the above, Hon'ble NCLT may consider examining the same and decide on the matter.

g) ROC has observed that since chit companies are controlled by the Registrar of Chits of the concerned states, necessary approvals may be obtained from the concerned authorities to the scheme in the interest of public/chit holders.

The petitioner company vide its email letter dated 25.07.2018 has submitted that the Company shall obtain all necessary approvals as required under law on sanctioning of the Scheme, wherever applicable. The Chit fund Act does not contemplate any requirement of prior approval. The Clause No. 3.2.4 of the Scheme takes care of all the agreements including the agreement entered into with the Chit fund subscribers and thus, the interest of Chit Subscribers is adequately protected." Hence this observation need not be pursued any further.

h) ROC in his report has observed that "a share exchange ratio has been recommended by Mr. R. Thyagarajan, Chartered Accountant, vide valuation report dated 16/08/2017 to the proposed Scheme of Amalgamation as per Company's request. Whereas, Board of Directors vide resolution passed on 16/08/2017 have considered a different share exchange ratio and adopted the same in the Scheme (at Clause No.9 of Part-V) for the reasons that the entire share capital of the companies in the Scheme are held by single entity, i.e., Shriram Ownership Trust and in order to keep the Transferee Company at service levels."

The petitioner company has in its letter dated 25.07.2018 clarified that the entire share capital of all the three Transferor Companies and the Transferee Company has been owned by one single entity (except for number of shareholders required under law as applicable to private limited company/public limited company). Hence, any share exchange ratio would not have made any difference, as no other shareholders interest is affected in view of the share exchange ratio.

In respect of petitioner companies reply for para No. (9) and (10) as stated above, it is submitted that the substantial shareholders in all the petitioner companies is "Shriram Ownership Trust" which is a holding company of all Petitioner companies. The petitioner company was called upon to submit full information on this Trust and its beneficiaries and when it has acquired the shares of all petitioner transferor and transferee companies.

The petitioner company vide its e-mail dated 30.07.2018 has furnished the dates of acquisition of the transferor and transferee companies by the said "Shriram Ownership Trust". However, it has not furnished the details of the beneficiaries of this trust along with the copies of its registration. Hence the petitioner company may be directed to produce copies of Trust Deed and its registration details.

8. The Director of the Petitioner/Transferee Company has filed an Affidavit dated 24th September 2018 stating that the first motion application filed by the Company CA(CAA) No. 78 of 2017 was allowed on 15.01.2018 wherein the meetings of secured creditors, unsecured creditors and shareholders of the Transferee Company was dispensed with. It is further stated that after filing the present second motion company petition, notice of Petition was undertaken in "The Hindu", English daily, Bangalore edition and "Udayavani", Kannada daily, Bangalore edition. It is further averred that the Petitioner/Transferee Company has not received any objections in relation to the Petition till date.

9. Vide a Memo dated 09.10.2018, the Counsel for the Applicant/Transferee Company submitted Board Resolution of the Petitioner Company dated 24.07.2018 wherein the words *"as more fully set out in Schedule 'A' hereto"* was resolved to be removed from Clause 3.2.1(d) of the Scheme.

10. The Authorized Signatory of the Petitioner Companies have filed an Affidavit dated 04th December, 2018 detailing their response to the observations of the Regional Director as follows:-

    i. **Observation No.1**: Transferor Company No.1, Transferor Company No.2 and Transferor Company No.3 are registered with RoC Hyderabad, RoC Mumbai, and RoC Chennai respectively.

    Petitioner's Response: With regard to Point No.1, being fact no further response is needed.

    ii. **Observation No.2**: The Scheme (at Clause No. 6(A) in Part IV) proposing for shifting of Registered Office of the Transferee Company from the State of Karnataka to the State of Tamil Nadu as an integral part of the Scheme which falls under the jurisdiction of Regional Director, Hyderabad. In this regard, Transferee Company shall file necessary forms and obtain approval of the Central

Government (Power delegated to the Regional Director, SER, Hyderabad) for such shifting, after the Scheme.

Petitioner's Response: the Registrar of Companies observed that for the shifting of Registered Office of the Transferee Company from the state of Karnataka to the state of Tamil Nadu, the Transferee Company shall file necessary forms and obtain approval of the Central Government (power delegated to the Regional Director, SER, Hyderabad). We wish to state that we undertake to file necessary forms for the shifting of the Registered Office. As regards seeking approval from the Central Government, we submit that courts have repeatedly held that the approval u/s.391 of Companies Act, 1956 (equivalent to Section 232 of the Companies Act, 2013) is a self contained code and hence, no separate approval from any other provisions of the Companies Act is required. In this regard we rely upon the following decisions:

- (2010) 154 Comp Cas 476: in the matter of Intertek Testing Services Private Limited
- (2004) 122 Comp Cas 854: in the matter of Jaypee Cement Private Limited

iii. **Observation No.3**: The Scheme at Clause No. 6(B) proposing to change the name of the Transferee Company from its present name, M/s 'Shriram Chits (Karnataka) Private Limited' to M/s 'Shriram Chits (India) Private Limited', the Company shall file necessary forms with the Registrar of Companies and comply with the provisions of the Companies Act, 2013.

Petitioner's Response: with regard to change in the name of the Transferee Company as part of the Scheme, the Registrar of Companies observed that the Company shall file necessary forms with the Registrar of Companies and comply with the provisions of the Companies Act, 2013. In this regard, we undertake to file necessary forms with the Registrar of Companies.

iv. **Observation No.4**: Since chit companies are controlled by the Registrar of Chits of the concerned states, necessary approvals may be obtained from the concerned authorities to the scheme in the interest of public/chit holders.

Petitioner's Response: As regard approvals required from the Registrar of Chits, we wish to state that the Company shall obtain all necessary approvals as required

under law on sanctioning of the Scheme, wherever applicable. The Chit Fund Act does not contemplate any requirement of prior approval. The clause No. 3.2.4 of the Scheme takes care of all agreements including the agreement entered into with the Chit Subscribers and thus, the interest of the Chit Subscribers is adequately protected.

v. **Observation No.5**: At Clause No. 10.3 in Part V of the Scheme it is mentioned that the Transferee Company is not required to pay any additional fee on clubbing of authorised capital of the transferor companies with the transferee company which is not acceptable under section 232(3)(i) of the Companies Act, 2013. Hence Transferee Company has to pay the differential fee if any after setting off the fee already paid by the Transferor companies on their respective authorised capital.

Petitioner's Response: we undertake to comply with the provisions of section 232(3)(i) of the Companies Act, 2013.

vi. **Observation No.6**: Part III of the Scheme Method of Accounting Treatment to be followed by the transferee company has not provided and also there is no auditor's report stating as to which accounting standard/method is going to be adopted for the Scheme in conformity with Section 133 of the Companies Act, 2013.

Petitioner's Response: the Chartered Accountant certificate was duly enclosed in page No. 96 of the Petitioners letter to the RD dated 13 July 2018. The said letter to the RD dated 13 July 2018 is enclosed as Annexure I and the Chartered Accountant Certificate is enclosed as Annexure II to this Affidavit.

vii. **Observation No.7**: A share exchange ratio has been recommended by Mr. R. Thyagarajan, Chartered Accountant, vide valuation report dated 16/08/2017 to the proposed Scheme of Amalgamation as per Company's request. Whereas, Board of Directors vide resolution passed on 16/08/2017 have considered a different share exchange ratio and adopted the same in the Scheme (at Clause No.9 of Part-V) for the reasons that the entire share capital of the companies in the Scheme are held by single entity, i.e., Shriram Ownership Trust and in order to keep the Transferee Company at service levels.

Petitioner's Response: the entire share capital of all the three Transferor Companies and the Transferee Company has been by one single entity (except for number of shareholders required under law as applicable to private limited company/public limited company). Hence, any share exchange ratio would not have made any difference, as no other shareholders interest is affected in view of the share exchange ratio. The exchange ratio was fixed keeping in mind to keep the share capital at serviceable levels. The Board of Directors considered these aspects while fixing the share ratio. This is clearly available in Page No. 19 of our letter dated 13.07.2018. Further, as has been held by various courts that share exchange ratio is a matter to be considered by the shareholders in their commercial wisdom and the shareholders of all the four companies in the present case, completely accepted the share exchange ratio. In this regard, we rely upon the decision of the Hon'ble Supreme Court in Miheer H. Mafatlal vs. Mafatlal Industries Limited (1997) 1 Supreme Court Cases 579.

viii. **Observation No.8**: There are no prosecutions, complaints, and Technical Scrutiny pending in this office on the petitioner companies.

Petitioner's Response: Being fact, no further response required.

ix. **Clarification No. 1**: ROC has observed that at Part III of the Scheme Method of Accounting Treatment to be followed by the transferee company has not provided and also there is no auditor's report stating as to which accounting standard/method is going to be adopted for the Scheme in conformity with Section 133 of the Companies Act, 2013. The scheme is silent about the applicability of the relevant accounting standards to be applied. As the accounting treatment in the scheme depends on the accounting standard applied and the method of accounting adopted, the petitioner company has to clarify this and only upon such clarification the accounting treatment in the scheme can be examined. Further, it is observed that the scheme at Clause 3 refers to adjustment of "General Reserve" which cannot be allowed unless the petitioner company clarifies the above issues.

Petitioner's Response: Before giving response to the query, for the sake of convenience the proviso to section 232(3)(j) is extracted as under:

"*Provided that no compromise or arrangement shall be sanctioned by the Tribunal unless a certificate by the company's auditor has been filed with the*

Tribunal to the effect that the accounting treatment, if any, proposed in the scheme of compromise or arrangement is in conformity with the accounting standards prescribed under section 133."

It is submitted Clause 3.1 of the Scheme specifically states that the accounting treatment shall be as prescribed in the Accounting Standard. Also, the certificate as required under the above proviso is already filed with you in page no. 96 of our letter dated 13 July 2018.

x. **Clarification No. 2**: As per section 232(6) of the Companies Act, 2013 the scheme under this section shall clearly indicate an appointed date from which it shall be effective and the scheme shall be deemed to be effective from such date and not at a date subsequent to the appointed date. However Clause 1.1(h) of the scheme is contrary to Section 232(6) and needs modification.

Petitioner's Response: as per clause 1.1(c) of the Scheme the appointed date shall mean 01st of April 2017.

Clause 1.1(h) of the Scheme defines "Effective Date". The effective date has been specifically defined due to the reason that there will always some time gap between the Scheme is approved by the Board and the appropriate statutory authority, i.e., NCLT.

It is humbly submitted that there is no inconsistency between provisions of Section 232(6) and Clause 1.1(c) of the Scheme. In the Scheme, where ever the word "Effective Date" is used it is always followed by "with effect from Appointed Date". For example Clause 3.1, Clause 3.2 etc., Hence, it is submitted that there is no inconsistency.

xi. **Clarification No. 3**: It is observed from the Balance Sheet as at 31 March 2017 of the petitioner company that there are following related party transactions

- Shriram Ownership Trust- Rs.4,95,996/-
- Shriram Investment Firm- (-)Rs.2,20,22,001/-
- Shriram Chits Tamilnadu Private Limited- (-)Rs.36,21,700/-

The petitioner company may require clarifying on these transactions as to whether these are falling u/s 185, 188 and 184 of the Act, 2013.

Petitioner's Response: The outstanding of Shriram Ownership Trust (amount of Rs.4,95,996/- is receivable), Shriram Chits Tamilnadu Private Limited (amount of Rs.36,21,700/- is payable) and Shriram Investment Firm (amount of Rs.2,20,22,001/- is payable). Hence, the provisions of Section 185 do not apply in respect of amounts payable i.e. Shriram Chits Tamilnadu Private Limited and Shriram Investment Firm. The amount outstanding receivable of Shriram Ownership Trust is not in the nature of loan and hence, the provisions of Section 185 are not applicable. All the transactions are in compliance with the provisions of Section 184 and Section 188, to the extend applicable.

xii. **Clarification No. 4**: As per Clause 3.2.1 (d) of the Scheme, the list of immovable properties of Transferor Companies which are proposed to be transferred to the transferee company is stated to have been furnished in Schedule 'A'. However, no such Schedule 'A' is attached to the scheme. The petitioner company may be directed to submit the same.

Petitioner's Response: The Applicant Company shall seek deletion of the words "as more fully set out in Schedule 'A' hereto in clause 3.2.1(d) of the Scheme as Clause (d) covers all the immovable properties of the Transferor Companies.

xiii. **Clarification No. 5**: it is observed that the substantial shareholders in all the petitioner companies is "Shriram Ownership Trust". Nowhere in the petition or the scheme have the beneficiaries of this trust been stated. Please submit complete details about this Trust and its beneficiaries and when it has acquired the shares of all petitioner transferor and transferee companies. Also, submit copies of registration of this trust and subsequent changes made to its bye-laws from its origin till date.

Petitioner's Response: Shriram Ownership Trust is a private trust with individual beneficiaries who are senior executive of the Transferor and Transferee Companies. The Trust is a tax paying entity as per the Income Tax law. The details of acquisition of the shares of the Applicant Company and the Transferee Company are as under:

Investment in Shriram Chits Karnataka Private Limited

S. no.	Particulars	Date	No. of Shares
1	Purchase from Shriram Capital Ltd	28.12.2007	204,000
2	Purchase from Shri Pallavi Finance & Investments	28.12.2007	195,929
3	Purchase from Shriram Capital Ltd.	26.07.2010	61
	TOTAL		**399,990**

Investment in Shriram Chits Private Limited

S. no.	Particulars	Date	No. of Shares
1	Purchase from Shriram Investments	30.06.2007	50,000
2	Purchase from Shri Thalam Finance & Investments	30.06.2007	50,000
3	Purchase from Shri Anupallavi Finance & Investments	30.06.2007	292,000
4	Purchase from Shriram Capital Ltd	30.06.2007	359,275
5	Purchase from Shriram Capital Ltd	30.06.2007	50,000
6	Purchase from Shriram Capital Ltd	26.07.2010	775
7	Various individuals	During FY 2017-18	350
	TOTAL		**802,400**

Investment in Shriram Chits Maharashtra Limited

S. no.	Particulars	Date	No. of Shares
1	Purchase from Shriram Chits Pvt Ltd	14.03.2017	3,500,000
2	Purchase from Shriram Investments	14.03.2017	4,830,000
	TOTAL		**8,330,000**

Investment in Shriram Chits Tamil Nadu Private Limited

S. no.	Particulars	Date	No. of Shares
1	Purchase from Shriram Capital Ltd	28.12.2007	612,000
2	Purchase from Shri Ragam Finance & Investments	28.12.2007	584,998
3	Purchase from Shriram Capital Ltd.	26.07.2010	3,000
	TOTAL		**1,199,998**

xiv. Regarding the specific queries of the Hon'ble NCLT during the hearing on 26 November 2018 regarding (a) a different share exchange ratio considered by the Board of Directors; and (b) why prior permissions of the Registrar of Chits is not required, the Petitioner, as explained to the RD vide the above communications, would like to reiterate its responses below:

(i) Response to Query share exchange ratio

The shareholding pattern for all four companies that are part of this scheme of amalgamation is provided for in Page 138 and 139 of the Company Petition. As the Hon'ble NCLT may note, 99.99% of the entire share capital of all the three Transferor Companies and the Transferee Company has been by one single entity i.e. the Shriram Ownership Trust. Hence, any share exchange

ratio would not have made any difference, as no other shareholders interest is affected in view of the share exchange ratio. The Board of Directors had fixed the share exchange ratio with the sole intention to keep the share capital at the serviceable levels. The same was also duly discussed and recorded at the board meeting of the Petitioner Company held on 16 August 2018. The extract of the said resolution is provided below for your reference:

"*RESOLVED FURTHER that after taking into account the Valuation Report of Mr. R. Thiagarajan, Chartered Accountant, Chennai, and also considering the fact that almost the entire Share Capital of all four companies involved in the Scheme are held by a single entity, i.e., Shriram Ownership Trust, and consequently any exchange ration determined shall not be against the interest of the Shareholder of the Companies and in order to keep the Transferee Company at service levels, it is proposed that each of the shareholder of all the transferor companies shall be issued shares of the Transferee Company in the following manner:*

- *For every one share of Rs.100/- each of the Transferor Company 1, one equity share of Rs.100/- each for Transferee Company.*
- *For every Ten shares of Rs.10/- each of Transferor Company 2, one equity share of Rs.100/- each of Transferee Company*
- *For every one share of Rs.100/- each of Transferor Company 3, one equity share of Rs.100/- each of the Transferee Company.*"

Thus, the shareholder of the transferor companies and the transferee entity being Shriram Ownership Trust, the share exchange ratio will not affect the interests of the shareholders of the Companies. Further, as has been held by various courts including the Hon'ble Supreme Court in Miheer H. Mafatlal vs. Mafatlal Industries Limited (1997) 1 Supreme Court Cases 579, the share exchange ratio is a matter to be considered by the shareholders in their commercial wisdom, and as the Board of Directors and Shareholders of all the four companies in the present case have completely accepted the share exchange ratio and the scheme, the same should not be held to affect the interest of the shareholders.

(ii) Response to query regarding the Registrar of Chits

As regards approvals required from the Registrar of Chits, the petitioner humbly submits that it shall obtain all necessary approvals as required under law on sanctioning of the Scheme, wherever applicable. The Chit Fund Act however does not contemplate any requirement of prior approval from the Registrar of Chits or any other authority under the said Act. Further, it is important to note that Clause No. 3.2.4 of the Scheme includes within its ambit all agreements including the agreements entered into by the Petitioners with the Chit Subscribers. Thus, the interests of the Chit Subscribers are duly and adequately protected. We have, for ease of reference, reproduced the said clause in the Scheme below:

"*All contracts of the Transferor Companies including in particular Agreements of Chit entered into by each of the Transferor Companies with subscribers and all agreements & documents entered into pursuant to the same, including without limitation documents & agreements relating to creation of security, subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favour of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Companies, the Transferee Company had been a party or beneficiary or oblige thereto.*"

11. Heard Shri K.G. Raghavan, learned Senior Counsel appearing for the Petitioner. As stated supra, the object and business of the Company involved in the Scheme relates to Chit Funds or Kuries and all similar kinds of schemes which encourage the habit of savings by affording all facilities for the purpose and more especially by opening Chit Savings, Thrift savings, and other deposit schemes in relation to trade or public, commercial and regular needs. Therefore, the ordinary public is involved in the business of the Company and the interest of those ordinary public has to be taken care of while sanctioning the scheme. It is not in dispute that the Tribunal is empowered to sanction the Scheme. However, cases like the present one where the business lies with ordinary public, it is necessary for the Company to take permission/approval from the appropriate authorities. In the instant case, Registrar of Chits is the concerned authority to examine

the issue in light of the terms and conditions proposed in the Scheme. Therefore, in the interest of justice, we are not inclined to sanction the Scheme subject to condition that approval can be taken from the Registrar of Chits after the sanction of the Scheme. Therefore, we are inclined to dispose of the instant Petition by granting liberty to the Petitioner to comply all observations/objections as raised by the Regional Director and the Registrar of Companies, especially the observation/objection with respect to approval of the Registrar of Chits in the interest of public/chit holders and thereafter file afresh.

12. Therefore, C.P (CAA) No. 20/BB/2018 is disposed with liberty to approach the Tribunal after getting prior approval for all objections raised supra, especially the approval from the Registrar of Chits after furnishing the scheme, and all the documents pertaining to the Scheme.

ASHOK KUMAR MISHRA
(MEMBER, TECHNICAL)

RAJESWARA RAO VITTANALA
(MEMBER, JUDICIAL)

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